

Discussion of “Strike while the Iron is Hot: Optimal Monetary Policy under State-Dependent”

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The paper in one slide

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- ❶ **The iron:** Menu-cost model → generate endogenous repricing decisions
- ❷ **The heat:** Large adverse cost-push shock → pushes inflation well above target
- ❸ **The ironer:** Central bank faces steeper PC → aggressive tightening

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Strike while the iron is hot



Aggressively stabilize inflation in response to large shocks

Very strong contributions

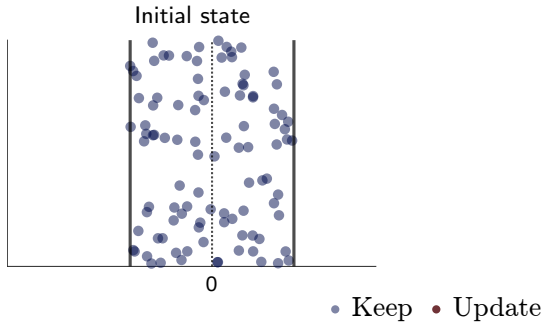
The paper advances the literature along three directions

- ① Improves fit of the Golosov & Lucas (2007) framework
- ② Solves the Ramsey OMP problem within a heterogeneous-firm model with state-dependent pricing
- ③ Novel solution method for Ramsey under perfect foresight with HA models

New framework to think of the great inflation surge of the recent years with a policy making perspective.

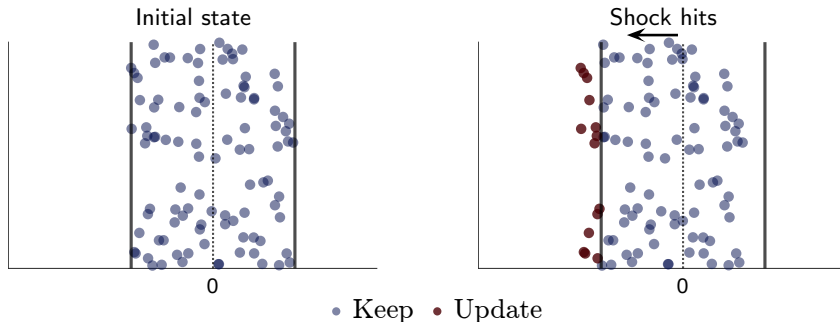
Improved Fit of Menu-Cost Models

Standard (s, S) model



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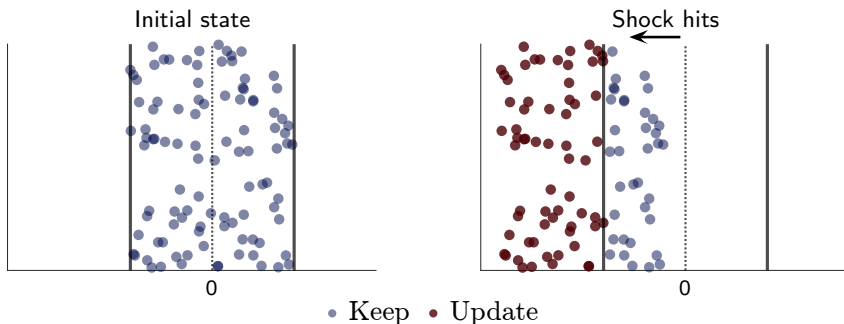
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- **Selection effect:** Higher frequency of adjustment $\rightarrow$ steeper Phillips curve

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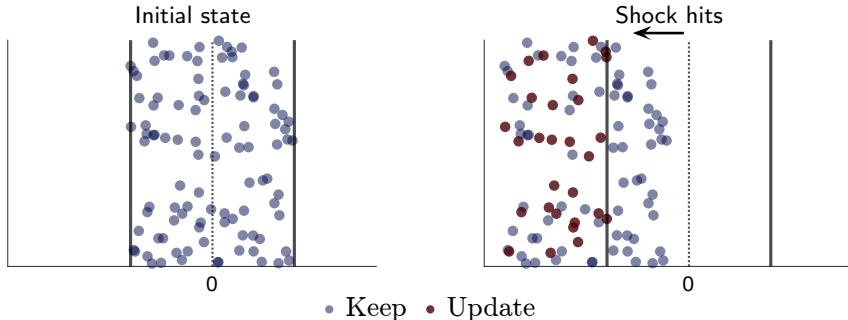
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- **Fat tails:** Large shocks $\rightarrow$ more synchronization

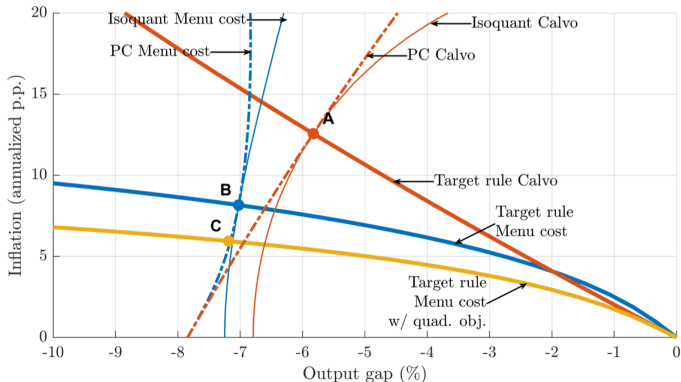
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KNNPT: Fat tails + strategic complementarity



- **Selection effect:** Higher frequency of adjustment $\rightarrow$ steeper Phillips curve
- **Fat tails:** Large shocks $\rightarrow$ more synchronization
- **Roundabout production:** Realistic real rigidity in normal times $\rightarrow$ flatter PC

Strike when it's hot



- Reducing inflation less costly $\rightarrow$ optimal policy should react more aggressively
- Under Calvo tradeoff is roughly constant $\rightarrow$ OMP similar for small shocks
- Comparison with LQ: nonlinearity in OMP due to PC slope, not policy preferences

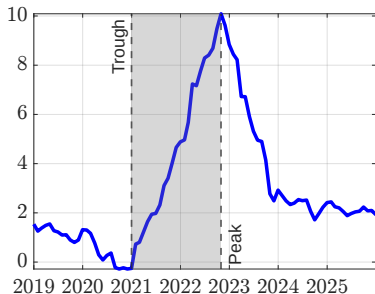
In the plot there are no strategic complementarities nor fat tails.

Comment # 1: The iron simmers before it burns

Large front-loaded shock that raises inflation to 10% on impact.

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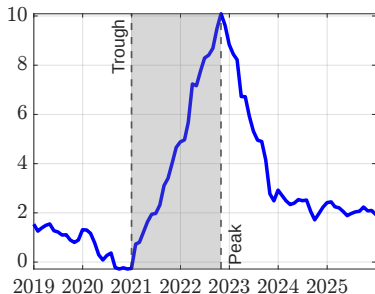
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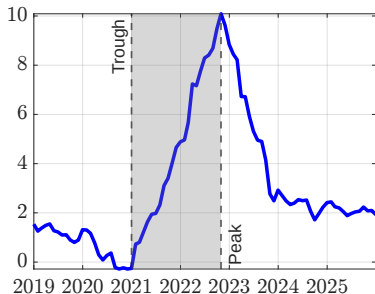
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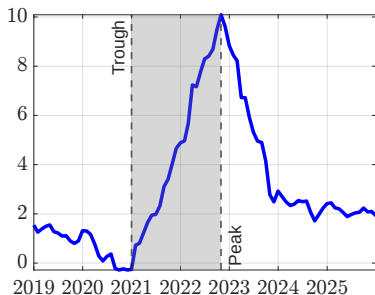
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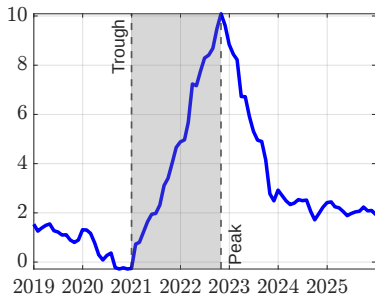


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De Polis et al. (2025): when agents learn about future upside risks to inflation the central bank should “lean against the balance of risks”.

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De Polis et al. (2025): when agents learn about future upside risks to inflation the central bank should “lean against the balance of risks”. **Don't let the iron be too hot!**

Comment # 2: More nonlinearities

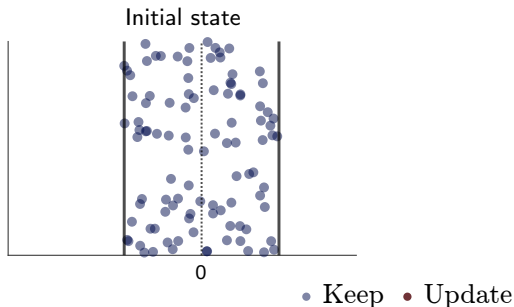
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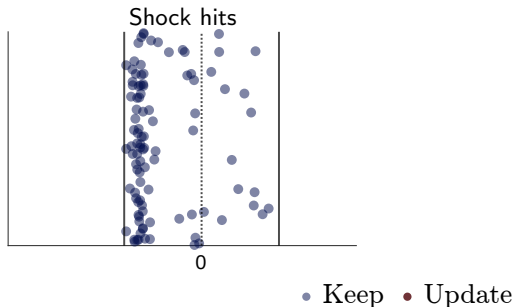
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- ② Implicit baseline assumption: symmetric dispersion of firms within inaction regions



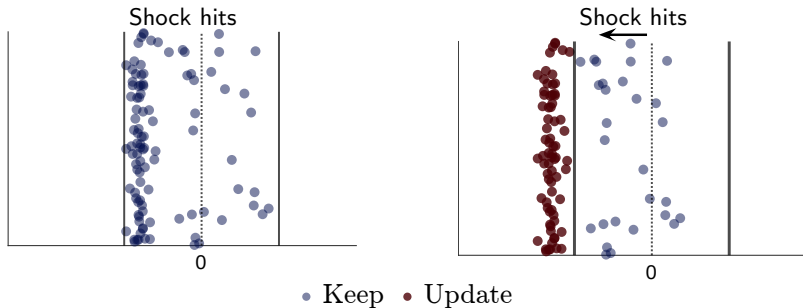
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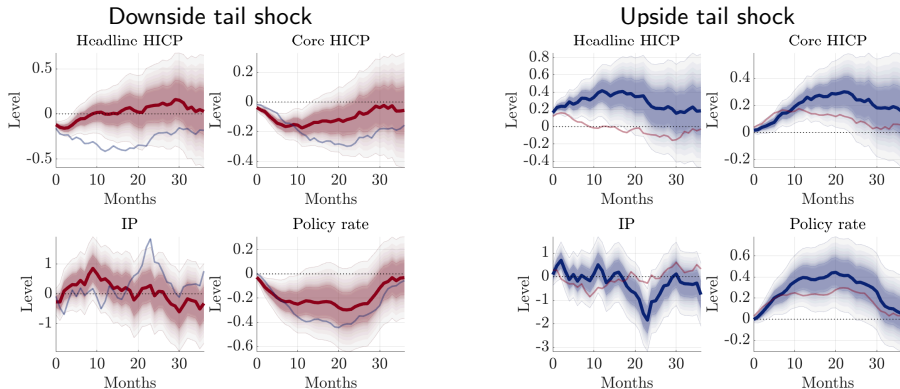


In this case, even a small aggregate shock may trigger large repricing.

Comment # 2: More nonlinearities

A large panel for the Euro Area from 1998 to 2025 features **asymmetric tails** in the cross-sectional distribution of relative prices in the Euro Area (De Polis 2026).

Using LPs, I show empirical nonlinearities in the responses to $\pm$ inflation tail shocks



Wrap-up

- Very elegant and encompassing paper that combines
 - Theory
 - Computations
 - Monetary policy prescriptions
- Strong policy recommendation:
 - Don't look through large shocks but fight back strong
- A timely framework for thinking about recent inflation dynamics
 - More can be done on nonlinearities

References

- De Polis, A. (2026), Telltale inflation tails: Risks from the cross-section of prices in the euro area, Technical report.
- De Polis, A., Melosi, L. & Petrella, I. (2025), The taming of the skew: Asymmetric inflation risk and monetary policy, Technical report, ECB Working Paper No. 3028.
- Golosov, M. & Lucas, R. E. (2007), 'Menu costs and phillips curves', *Journal of Political Economy* **115**(2), 171–199.